

Check Your Progress 3

- 1) Give a brief account of IL&FS.

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- 2) Discuss the role of NFB

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- 3) Describe the importance of TFCL.

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17.14 INSURANCE SECTOR

Insurance means compensation for financial loss. It is a monetary instrument, which reduces the financial risks in the events of eventualities, and provides financial safety. The insurance sector is a colossal one. A well-developed and evolved insurance sector is a boon for economic development as it provides long-term funds for infrastructure development at the same time strengthening the risk-taking ability of the country. Insurance companies generally function on two-dimensional landscapes which include (a) underwriting activity which is mainly centered on collecting premiums and honouring claims, and (b) investment activity which is meant to dispense assets into various investments.

Importance of the insurance sector: Insurance capital and reserves are paramount hotspots of money finances of the economy. The insurance industry in India is playing an important role in the advancement of capital markets, providing finance to companies and governments and bringing forward the mechanisms for corporate control and risk management. Insurance companies additionally decrease dependence on the banking system and act as shock absorbers. Insurers have a counter-cyclical and settling impact on the economy. Insurance companies' investment operations are influenced by up and down in internal as well as external factors. The changing market and regulatory environment stimulate insurance companies to invest not only in government securities and money market instruments but also in stocks which make them vulnerable to high risks. Therefore, insurers should have robust risk and investment management frameworks to deliver superior risk-adjusted returns to customers. The investment portfolio of insurance companies encompasses an extensive range of securities.

The Insurance industry in India is subjected to a comprehensive set of rules and regulations. Investment activities of insurance firms have important macroeconomic consequences for the allocation of funds between different sectors of the economy. No company can introduce a new product before getting prior approval from Insurance Regulatory and Development Authority of India (IRDA). IRDA regulations specify the amounts of their invested assets in government securities, approved investments and other investments. Because of these regulations, insurance companies are unable to utilize their fund according to their discretion. Most of the investment has been in fixed-income securities, particularly in government securities.

The insurance industry of India consists of 57 insurance companies of which 24 are in the life insurance business and 33 are non-life insurers. Among the life insurers, Life Insurance Corporation (LIC) is the sole public sector company. Apart from that, among the non-life insurers, there are five public sector insurers- Agriculture Insurance Co. of India Ltd., National Insurance Co.Ltd., New India Assurance Co. Ltd, Oriental Insurance Co.Ltd., and United India Insurance Co.Ltd. In addition to these, there is a sole national re-insurer, namely, General Insurance Corporation of India (GIC Re). Other stakeholders in the Indian Insurance market include agents (individual and corporate), brokers, surveyors and third-party administrators servicing health insurance claims.

17.14.1 Life Insurance Corporation of India (LIC)

The LIC had a monopoly in life insurance sector till the late 90s when the Insurance sector was reopened for the private sector. LIC is an Indian state-owned insurance group and investment company headquartered in Mumbai. It is the largest insurance company in India. Insurance behemoth Life Insurance Corporation of India (LIC) is the fourth largest insurer in the world, according to a ranking based on life and accident & health reserves of companies in 2022 by S&P Global Market Intelligence. LIC offers a variety of Insurance products to its customers. LIC is the only public sector company which existed in both the pre and post-reform periods.

Insurance Regulatory and Development Authority of India (IRDA)

Following the recommendations of the Malhotra Committee report, in 1999, the *Insurance Regulatory and Development Authority* (IRDA) was constituted as an autonomous body to regulate and develop the insurance industry. The IRDA was incorporated as a statutory body in April 2000. The key objective of the IRDA is to promote competition to enhance customer satisfaction through increased consumer choice and lower premiums while ensuring the financial security of the insurance market. The IRDA opened up the market in August 2000 with the invitation for applications for registrations. The Indian life insurance industry has experienced major changes in terms of market structure, size and operational practices. Life insurance companies' investments are categorised as linked investments, non-linked investments and

shareholders' investments. The regulations prescribe a combination of measuring investment at market value and amortized cost.

17.14.2 General Insurance Companies (Non-Life Insurance)

Non-life insurance is any type of insurance other than life insurance. Non-life insurance may cover people, property or legal liabilities. Non-life insurance is a broad category. The insurance which is done for physical properties other than human life is known as non-life insurance. Insurance contracts that do not come under the ambit of life insurance are called general insurance. Non-life insurance is taken as a means of providing financial protection for building, machinery, equipment, furniture, and vehicle and merchandise items against the risk of fire, earthquake, accident and theft. Like life insurance, general insurance products come at a price in the form of a premium. Insurance achieves both risk transfer and risk reduction.

In December 2000, the subsidiaries of the General Insurance Corporation of India were restructured as independent companies and at the same time GIC was converted into a national re-insurer. Parliament passed a bill de-linking the four subsidiaries from GIC in July 2002. Non-life or general insurance companies' contracts are short-term in nature and the liquidity needs of non-life companies are much higher. Thus, the investible funds of general insurance companies chop and change broadly. Therefore, the investment portfolio of the general insurer should be managed prudently to enable the company to meet the increasing costs of business operations.

17.15 MUTUAL FUNDS

A mutual fund is a professionally managed investment scheme, usually run by an asset management company that brings together a group of people and invests their money in stocks, bonds and other securities. There are various kinds of mutual funds with a specific goal set. The Securities and Exchange Board of India (SEBI) has categorised mutual funds in India under four broad categories:

- i) *Equity Mutual Funds*: An equity fund is a mutual fund that invests principally in stocks. It can be actively or passively (index fund) managed. Equity funds are also known as stock funds. Stock mutual funds are principally categorized according to company size, the investment style of the holdings in the portfolio and geography. Equity funds aim to generate high returns by investing in the shares of companies of different market capitalization. They generate higher returns than debt funds or fixed deposits.
- ii) *Debt Mutual Funds*: They mainly invest in a mix of debt or fixed-income securities such as Treasury Bills, Government Securities, Corporate Bonds, Money Market instruments and other debt securities of different

time horizons. Generally, debt securities have a fixed maturity date and pay a fixed rate of interest.

- iii) *Hybrid Mutual Funds:* Hybrid Funds are mutual funds that provide a combination of more than one underlying investment asset class, such as stocks, bonds or cash. These funds typically invest in a mix of stocks and bonds. They may also be known as asset allocation funds.
- iv) *Solution-oriented Mutual Funds:* These funds are open-ended schemes created mainly for long-term planning. This category is characterized by a portfolio that is made up of a mix of equity stocks and bonds and will suit investors looking for debt-plus returns with higher levels of risk than fixed-income schemes.

Mutual Fund Organisations (MFOs) with huge resources of investments of public and a team of experts in their employee roll analyse investment opportunities in various securities, bonds and financial investments. Based on the appraisal made by the specialists, investment decisions in the capital market to buy/sell the securities are taken. The Mutual Funds are subject to SEBI regulations and they are monitored and inspected by SEBI.

Check Your Progress 4

- 1) What is the significance of the insurance sector?
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- 2) Explain the various kinds of investment institutions operating in India.
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- 3) Describe the different forms of Mutual Funds.
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17.16 LET US SUM UP

Besides setting up several institutions, a large number of other financial institutions (OFIs) cater to the needs of finance. OFIs can be classified into two broad categories of institutions as per their area of operation: Sector-specific financial institutions and Investment Institutions. One of the OFIs is SIDBI. It is the primary financial institution for promoting, developing and

financing the MSME (Micro, Small and Medium Enterprise) sector and coordination of the functions of the various Institutions engaged in similar activities. **SIDBI** also extends Nodal Agency services to the Government of India for schemes sponsored by various Ministries to encourage the implementation of modernisation and technology upgradation projects by manufacturing units in the MSME sector. Another institution: **EXIM Bank** provides financial assistance to exporters and importers, and is responsible for functioning as the principal financial institution for coordinating the working of institutions engaged in financing the export and import of goods and services to promote the country's international trade. In this unit, we also discussed **NABARD**. The NABARD has been recognized as the apex institution for agricultural finance and development of rural areas. **IIFCL** is a wholly-owned Government of India company set up in 2006 to provide long-term finance to viable infrastructure projects through the Scheme for Financing Viable Infrastructure Projects through a Special Purpose Vehicle broadly referred to as SIFTI. **IL&FS** develops high-quality infrastructure and financial solutions to catalyze India's growth. **PFC** is engaged in power sector financing and committed to the integrated development of the power and associated sectors by channelling the resources and providing financial, technological, and managerial services. **REC** is engaged in the financing and promotion of transmission distribution and generation projects throughout India. Their main objective is to finance and promote rural electrification projects all over the country. The primary function of **NHB**, an apex institution of housing finance in India is to register, regulate and supervise HFCs. The main objective of **TFCI** is to expedite the growth of tourism infrastructure in the country by providing a dedicated line of credit on a long-term basis to tourism-related projects in the country. The insurance industry in India is playing an important role in the advancement of capital markets, providing finance to companies and governments and bringing forward the mechanisms for corporate control and risk management. One of the prominent insurance companies is LIC. LIC is an Indian state-owned insurance group and investment company that offers a variety of Insurance products to its customers.

A mutual fund is a professionally managed investment scheme, usually run by an asset management company that brings together a group of people and invests their money in stocks, bonds and other securities. There are various kinds of mutual funds with a specific goal set.

17.17 KEY WORDS

Credit Rating Agency : A credit rating agency (CRA, also called a rating service) is a company that assigns credit ratings, which rate a debtor's ability to pay back debt by making timely principal and interest payments and the likelihood of default. Indian credit rating industry mainly comprises CRISIL, ICRA, CARE, ONICRA, FITCH and SMERA.

- Customized loans** : The goal is to design a customized credit strategy to meet the needs of a particular firm or business.
- Direct finance** : Direct finance is a method of financing where borrowers borrow funds directly from the financial market without using a third-party service, such as a financial intermediary.
- Indirect finance** : Indirect finance is where borrowers borrow funds from the financial market through indirect means, such as through a financial intermediary.
- Institutional investors** : These are entities that pool together funds on behalf of others and invest those funds in a variety of different financial instruments and asset classes.
- Microfinance** : Microfinance, also known as microcredit, is a financial service that offers loans, savings and insurance to entrepreneurs and small business owners who don't have access to traditional sources of capital, like banks or investors.

17.18 SOME USEFUL BOOKS

Annual Report (various issues) of RBI, SIDBI, IFCI, NHB, PFC, REC, TFCI, and IL&FS.

Bhole, L M and '*Financial Institution and Markets*', 6th edition, Jitendra Mahakud (2017): Tata McGraw-Hill Education Pvt. Ltd., New Delhi

Gurusamy, S. (2009): *Financial Services and Markets*, Thomson, New Delhi.

Khan, M Y (2017): '*Indian Financial System*', 10th edition, Tata McGraw-Hill Education Pvt. Ltd., New Delhi

Neelima, K M and Non-Banking Finance Companies in India's Anand Kumar (2017): *Financial Landscape, RBI Bulletin*, October

Sharma, KC (2013): *Life Insurance in India Principles and Practices*, Regal Publication, New Delhi

17.19 ANSWER/HINTS TO CHECK YOUR PROGRESS EXERCISES

Check Your Progress 1

- 1) Recognise and fill the gaps in institutions and markets in the financial sector, transfer funds from the surplus to the deficit sectors in the economy, ensuring the flow of finance in desired directions and in particular to priority areas of development.
- 2) Direct finance, Indirect finance, discounting and rediscounting bills.

- 3) Expanding marketing channels, services like factoring, leasing etc, for customised loans etc.

Check Your Progress 2

- 1) Extends funded and non-funded facilities for overseas turnkey projects, and financier and provides funded and non-funded support for project export contracts of Indian Entities, and financier and provides funded and non-funded support for project export contracts of Indian Entities.
- 2) Lines of Credit (LOCs)
- 3) Credit function, development function, and promotional function.

Check Your Progress 3

- 1) Refer to Section 17.8
- 2) To register and supervise HFCs. It also provides refinance to HFCs, SCBs, RRBs and cooperative sector institutions for housing loans and directly lends (project finance) to borrowers in the public and private sectors to extend financial support to the housing programmes for the unserved and under-served segments of the population.
- 3) Creation of tourism infrastructure, financial assistance.

Check Your Progress 4

- 1) Advancement of capital markets, providing finance to companies and governments and bringing forward the mechanisms for corporate control and risk management.
- 2) Regulate and develop the insurance industry, and promote competition.
- 3) Equity Mutual Funds, Debt Mutual Funds, Hybrid Mutual Funds, Solution-oriented Mutual Funds.

17.20 TERMINAL QUESTIONS

- 1) Describe the working of sector-specific financial institutions in meeting the requirements of finance of the concerned sector.
- 2) “SIDBI’s nature and scope increased with time”. Explain. What are financial schemes for the MSMEs sector?
- 3) Critically examine the financing function of NABARD. What are its promotional activities?
- 4) “In the field of international trade EXIM Bank has been playing a very critical role in promoting India’s exports”. Justify this statement.
- 5) Examine the role of infrastructure financing institutions in providing finance to the sector.
- 6) Analyse the nature and functions of investment institutions in India.